Weekly Economic Commentary 02 Nov 2026

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By Westpac New Zealand Economics

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A lesson to be learned

The RBNZ delivered the biggest shock to markets outside of a crisis period in over 20 years by leaving the OCR unchanged last week. Markets had priced around a 98% probability of a 25bp increase, and all major domestic analysts concurred. After the CPI data the week earlier, we belatedly shifted our call to a hike despite plenty of good arguments in favour of the RBNZ sticking to its plan to pause. With the benefit of hindsight, too much weight was put on market pricing and short-term inflation drivers and not enough on the medium term. That's an important lesson to be learned.

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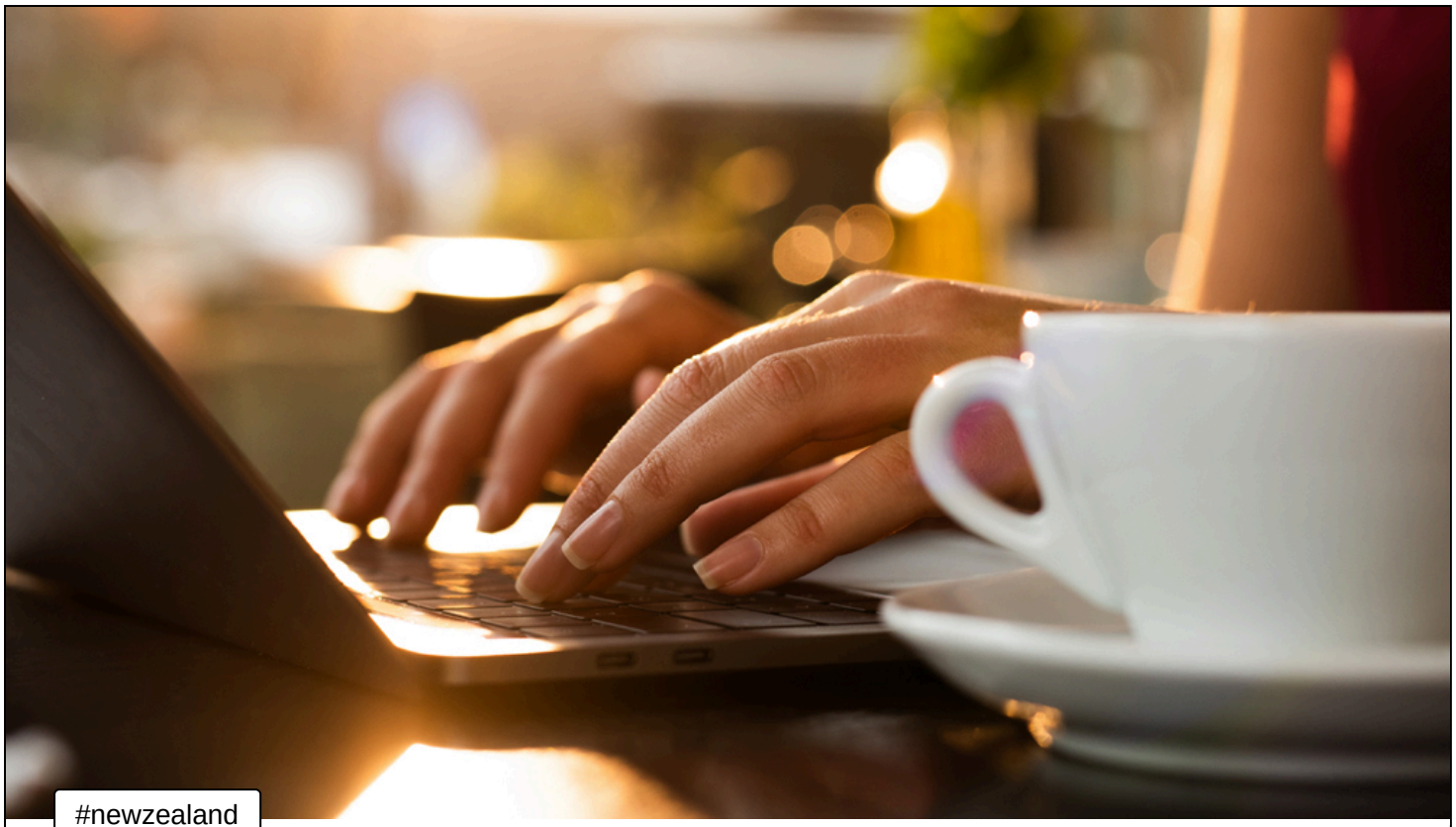
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